

QGT1

# Business Management Capstone Written Project

Armored Drill

8 concepts · 12 items · 4 transfer items

**What this is.** Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

**Source.** Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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# How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | _____  |                               |

# Items

1.

A mobile dog-grooming startup operates in a city with 80,000 dog-owning households. It can realistically serve the 30,000 households within 15 miles and expects to win 5% of them in year one. The founder's favorite breed is the corgi. What is the year-one obtainable market (SOM) in households?

- A. 6,000 households
- B. 1,500 households
- C. 4,000 households
- D. 30,000 households

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

2. [TRANSFER — reversed stem / different variable]

A business plan projects year-one revenue of \$450,000 from customers who spend \$300 each. That customer count equals 3% of the serviceable market. How many customers are in the serviceable market (SAM)?

- A. 1,500
- B. 50,000
- C. 150,000
- D. 45

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

3.

A craft-coffee roaster plans to sell online. Its best customers are 25 to 40 years old, live in cities, care strongly about sustainability, and buy premium beans twice a month. The owner's cousin runs a bakery. Which segmentation base does “care strongly about sustainability” represent?

- A. Geographic.
- B. Behavioral.
- C. Psychographic.
- D. Demographic.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

4.

A subscription-box business charges \$40 per box. Product and shipping cost \$22 per box, and fixed costs are \$9,000 per month. The founder spent \$3,000 on a logo last year. How many boxes per month break even?

- A. 225
- B. 500
- C. 667
- D. 409

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ____   |                               |

5. [TRANSFER — reversed stem / different variable]

A business breaks even at 400 units a month. Price is \$25 and variable cost is \$15 per unit. How many units must it sell to earn \$6,000 of monthly profit?

- A. 1,000
- B. 667
- C. 400
- D. 600

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ____   |                               |

6.

A year-one projection shows revenue of \$600,000, COGS of \$240,000, operating expenses of \$210,000, interest of \$15,000, and a 20% tax rate on pre-tax income. The founder plans to open a second location in year three. What is projected net income?

- A. \$108,000
- B. \$150,000
- C. \$120,000
- D. \$360,000

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ____   |                               |

**7.** [TRANSFER — reversed stem / different variable]

A plan targets net income of \$64,000 with a 20% tax rate. Interest expense is \$10,000. What operating income is required?

- A.** \$80,000
- B.** \$74,000
- C.** \$90,000
- D.** \$86,800

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**8.**

A B2B startup's pro forma shows a profit every month, but customers pay on 90-day terms while suppliers require payment within 30 days. The startup's website won a design award. What is the biggest risk the plan should address?

- A.** Change how revenue is recognized to match cash.
- B.** The website needs another redesign.
- C.** No risk, because the business is profitable.
- D.** Running out of cash despite being profitable; plan working capital or a credit line.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**9.**

A new meal-kit company enters a market with dozens of rivals, low customer switching costs, and many grocery-store substitutes. The founders met at culinary school. What does a five-forces analysis suggest?

- A.** The market is attractive because everyone needs food.
- B.** Supplier power is the main threat.
- C.** The founders' training removes competitive pressure.
- D.** Profit pressure is high; the plan needs strong differentiation or a niche.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**10.**

A local bakery is known for its gluten-free products. A nearby hospital is opening a wellness café and seeking local vendors. The owner drives a vintage delivery van. Which action is an S-O (strength-opportunity) strategy?

- A.** Pitch gluten-free products to supply the hospital café.
- B.** Repaint the delivery van.
- C.** Hire a consultant to fix a weak social-media presence.
- D.** Cut prices to fend off a new chain competitor.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**11.**

A projected balance sheet shows current assets of \$180,000 (including \$60,000 cash), current liabilities of \$120,000, and long-term debt of \$200,000. The owner owns the building outright. What is the current ratio?

- A.** 0.5
- B.** 0.67
- C.** 0.56
- D.** 1.5

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**12.** [TRANSFER — reversed stem / different variable]

A plan needs a current ratio of 2.0. Current liabilities are \$75,000. What current assets are required?

- A.** \$37,500
- B.** \$225,000
- C.** \$150,000
- D.** \$75,000

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

# STOP

Answers and dissection follow. Finish every item and every strip first.

# Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

## 1. Answer B Concept 1

A mobile dog-grooming startup operates in a city with 80,000 dog-owning households. It can realistically serve the 30,000 households within 15 miles and expects to win 5% of them in year one. ~~The founder's favorite breed is the corgi.~~ What is the year-one obtainable market (SOM) in households?

**Target word:** SOM **Decides:** 5% of the serviceable 30,000.

|          |                    |                                           |
|----------|--------------------|-------------------------------------------|
| A        | Inverted operation | Divides 30,000 by 5 instead of taking 5%. |
| <b>B</b> | <b>Correct</b>     | $0.05 \times 30,000 = 1,500$ .            |
| C        | Adjacent category  | Applies 5% to the total market (TAM).     |
| D        | Wrong stem number  | That is SAM.                              |

## 2. Answer B Concept 1 • transfer

A business plan projects year-one revenue of \$450,000 from customers who spend \$300 each. That customer count equals 3% of the serviceable market. How many customers are in the serviceable market (SAM)?

**Target word:** solve for SAM **Decides:** Customers = 1,500; SAM = 1,500 / 0.03.

|          |                    |                                                         |
|----------|--------------------|---------------------------------------------------------|
| A        | Dropped element    | That is year-one customers (SOM), not SAM.              |
| <b>B</b> | <b>Correct</b>     | $\$450,000 / \$300 = 1,500$ ; $1,500 / 0.03 = 50,000$ . |
| C        | Confusion set      | Divides revenue by 3 without converting to customers.   |
| D        | Inverted operation | Multiplies by 3% instead of dividing.                   |

## 3. Answer C Concept 2

A craft-coffee roaster plans to sell online. Its best customers are 25 to 40 years old, live in cities, care strongly about sustainability, and buy premium beans twice a month. ~~The owner's cousin runs a bakery.~~ Which segmentation base does “care strongly about sustainability” represent?

**Target word:** segmentation base **Decides:** Values and attitudes.

|          |                   |                                                          |
|----------|-------------------|----------------------------------------------------------|
| A        | Dropped element   | Answers the city detail and drops the trait asked about. |
| B        | Adjacent category | Buying twice a month is behavioral; values are not.      |
| <b>C</b> | <b>Correct</b>    | Values and lifestyle are psychographic.                  |
| D        | Confusion set     | Age is demographic; values are not.                      |

## 4. Answer B Concept 3

A subscription-box business charges \$40 per box. Product and shipping cost \$22 per box, and fixed costs are \$9,000 per month. ~~The founder spent \$3,000 on a logo last year.~~ How many boxes per month break even?

**Target word:** break-even units **Decides:** Contribution margin = \$18.

|          |                    |                                                                              |
|----------|--------------------|------------------------------------------------------------------------------|
| A        | Dropped element    | $\$9,000 / \$40$ ignores variable cost.                                      |
| <b>B</b> | <b>Correct</b>     | $\$9,000 / (\$40 - \$22) = 500$ .                                            |
| C        | Camouflage         | Adds last year's logo cost, a past one-time expense, to monthly fixed costs. |
| D        | Inverted operation | Divides by variable cost instead of contribution margin.                     |

### 5. Answer A Concept 3 • transfer

A business breaks even at 400 units a month. Price is \$25 and variable cost is \$15 per unit. How many units must it sell to earn \$6,000 of monthly profit?

**Target word:** units for a target profit **Decides:** Fixed costs =  $400 \times \$10 = \$4,000$ .

|   |                    |                                                          |
|---|--------------------|----------------------------------------------------------|
| A | Correct            | $(\$4,000 + \$6,000) / \$10 = 1,000$ .                   |
| B | Inverted operation | Divides by variable cost instead of contribution margin. |
| C | Wrong stem number  | That is break-even, with zero profit.                    |
| D | Dropped element    | $\$6,000 / \$10$ ignores fixed costs.                    |

### 6. Answer A Concept 4

A year-one projection shows revenue of \$600,000, COGS of \$240,000, operating expenses of \$210,000, interest of \$15,000, and a 20% tax rate on pre-tax income. ~~The founder plans to open a second location in year three.~~ What is projected net income?

**Target word:** net income **Decides:** Walk down the statement.

|   |                   |                                                                                |
|---|-------------------|--------------------------------------------------------------------------------|
| A | Correct           | $600 - 240 = 360$ ; $- 210 = 150$ ; $- 15 = 135$ ; $\times 0.80 = \$108,000$ . |
| B | Adjacent category | Operating income, before interest and tax.                                     |
| C | Dropped element   | Taxes operating income and drops interest.                                     |
| D | Confusion set     | Gross profit.                                                                  |

### 7. Answer C Concept 4 • transfer

A plan targets net income of \$64,000 with a 20% tax rate. Interest expense is \$10,000. What operating income is required?

**Target word:** solve backward for operating income **Decides:** Pre-tax =  $64,000 / 0.80$ ; add interest.

|   |                    |                                                                 |
|---|--------------------|-----------------------------------------------------------------|
| A | Adjacent category  | Pre-tax income, before adding back interest.                    |
| B | Dropped element    | Ignores tax.                                                    |
| C | Correct            | $\$64,000 / 0.80 = \$80,000$ pre-tax; $+ \$10,000 = \$90,000$ . |
| D | Inverted operation | Grosses up by multiplying by 1.20 instead of dividing by 0.80.  |

### 8. Answer D Concept 5

A B2B startup's pro forma shows a profit every month, but customers pay on 90-day terms while suppliers require payment within 30 days. ~~The startup's website won a design award.~~ What is the biggest risk the plan should address?

**Target word:** key financial risk **Decides:** Cash goes out 60 days before it comes in.

|   |                   |                                                      |
|---|-------------------|------------------------------------------------------|
| A | Adjacent category | Accounting choices do not create cash.               |
| B | Camouflage        | The award is irrelevant to cash timing.              |
| C | Confusion set     | Profit is not cash.                                  |
| D | Correct           | Timing gaps drain cash even when profit is positive. |

### 9. Answer D Concept 6

A new meal-kit company enters a market with dozens of rivals, low customer switching costs, and many grocery-store substitutes. ~~The founders met at culinary school.~~ What does a five-forces analysis suggest?

**Target word:** industry attractiveness **Decides:** Strong rivalry, easy switching, many substitutes.

|   |                   |                                                      |
|---|-------------------|------------------------------------------------------|
| A | Absolute language | Large demand does not make an industry profitable.   |
| B | Adjacent category | The stem describes rivalry, buyers, and substitutes. |
| C | Camouflage        | Skills do not change industry structure.             |
| D | <b>Correct</b>    | Several forces are strong at once.                   |

### 10. Answer A Concept 7

A local bakery is known for its gluten-free products. A nearby hospital is opening a wellness café and seeking local vendors. ~~The owner drives a vintage delivery van.~~ Which action is an S-O (strength-opportunity) strategy?

**Target word:** S-O strategy **Decides:** Pair the gluten-free strength with the café opportunity.

|   |                   |                                              |
|---|-------------------|----------------------------------------------|
| A | <b>Correct</b>    | Uses a strength to capture an opportunity.   |
| B | Camouflage        | Not tied to the strength or the opportunity. |
| C | Adjacent category | Addresses a weakness.                        |
| D | Confusion set     | Responds to a threat.                        |

### 11. Answer D Concept 8

A projected balance sheet shows current assets of \$180,000 (including \$60,000 cash), current liabilities of \$120,000, and long-term debt of \$200,000. ~~The owner owns the building outright.~~ What is the current ratio?

**Target word:** current ratio **Decides:** Current assets / current liabilities.

|   |                    |                                               |
|---|--------------------|-----------------------------------------------|
| A | Adjacent category  | Cash / current liabilities is the cash ratio. |
| B | Inverted operation | Flips the ratio.                              |
| C | Confusion set      | Adds long-term debt to liabilities.           |
| D | <b>Correct</b>     | $\$180,000 / \$120,000 = 1.5$ .               |

### 12. Answer C Concept 8 · transfer

A plan needs a current ratio of 2.0. Current liabilities are \$75,000. What current assets are required?

**Target word:** solve for current assets **Decides:**  $CA = \text{ratio} \times CL$ .

|   |                    |                                                 |
|---|--------------------|-------------------------------------------------|
| A | Inverted operation | Divides instead of multiplying.                 |
| B | Confusion set      | Adds liabilities on top of the required assets. |
| C | <b>Correct</b>     | $2.0 \times \$75,000$ .                         |
| D | Wrong stem number  | That is liabilities, a ratio of 1.0.            |

## Triage grid

Write each item number in the box it belongs to.

|                       | Right                                                 | Wrong                                                                                 |
|-----------------------|-------------------------------------------------------|---------------------------------------------------------------------------------------|
| <b>Sure</b>           | Owned.                                                | <b>Concept inversion — top priority.</b> A wrong mental model; it survives rewording. |
| <b>Unsure / guess</b> | Recognition, not mastery. Re-drill with the transfer. | Not learned yet.                                                                      |

## Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

| Trap               | What it does                                                 | In this drill | Your misses |
|--------------------|--------------------------------------------------------------|---------------|-------------|
| Dropped element    | Leaves out a required term or step.                          | 6             |             |
| Wrong stem number  | A figure copied from the prompt that is not the answer.      | 3             |             |
| Adjacent category  | The right idea in the wrong bucket.                          | 8             |             |
| Inverted operation | Direction flipped: add/subtract, cause/effect, higher/lower. | 7             |             |
| Absolute language  | Always, never, guarantee — where judgment applies.           | 1             |             |
| Confusion set      | Every option is real; the test is exact role-matching.       | 7             |             |
| Camouflage         | Answers a stem fact that was never the question.             | 4             |             |

## Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

| # | Concept                              | Rule                                                                                                                            | Trap                                                             | Tell                                                         |
|---|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|--------------------------------------------------------------|
| 1 | <b>Market sizing (TAM, SAM, SOM)</b> | TAM is the total market, SAM the part you can serve, and SOM the share of SAM you can realistically capture.                    | Applying the capture rate to the total market.                   | A total population, a reachable subset, and a percentage.    |
| 2 | <b>Segmentation bases</b>            | Demographic = who (age, income); geographic = where; psychographic = values, lifestyle; behavioral = usage and buying patterns. | Calling values or attitudes demographic.                         | A customer profile mixing several traits.                    |
| 3 | <b>Break-even and target profit</b>  | Units = (fixed costs + target profit) / (price – variable cost per unit).                                                       | Dividing by price, or adding past one-time costs to fixed costs. | Price, unit variable cost, and monthly fixed cost.           |
| 4 | <b>Pro forma income statement</b>    | Revenue – COGS = gross profit; – operating expenses = operating income; – interest = pre-tax income; – tax = net income.        | Stopping at operating income or skipping interest.               | Revenue, COGS, operating expenses, interest, and a tax rate. |
| 5 | <b>Profit vs. cash flow</b>          | A profitable business can run out of cash when customers pay slower than suppliers must be paid; plan working capital.          | Assuming profit means enough cash.                               | Payment terms that differ for customers and suppliers.       |
| 6 | <b>Five forces</b>                   | Many rivals, low switching costs, and close substitutes push industry profits down; a plan must differentiate or find a niche.  | Calling a market attractive because demand is large.             | Rivalry, switching costs, substitutes described.             |
| 7 | <b>Turning SWOT into strategy</b>    | S-O strategies use internal strengths to capture external opportunities; W-O, S-T, and W-T address other pairings.              | Mismatching a pairing or acting on an irrelevant detail.         | A named strength and a named opportunity.                    |
| 8 | <b>Liquidity ratio</b>               | Current ratio = current assets / current liabilities.                                                                           | Flipping the ratio or including long-term items.                 | Current and long-term balance sheet lines given together.    |

**Course scope (public description):** For the Business Management Capstone Written Project students will integrate and synthesize competencies from across their degree program to demonstrate their ability to participate in and contribute value to their chosen professional field. A comprehensive business plan is developed for a company that plans to sell a product or service in a local market, national market, or on the Internet. The business plan includes a market analysis, financial statements and analysis, and specific strategic actions relevant to the chosen company.